

Stock Update

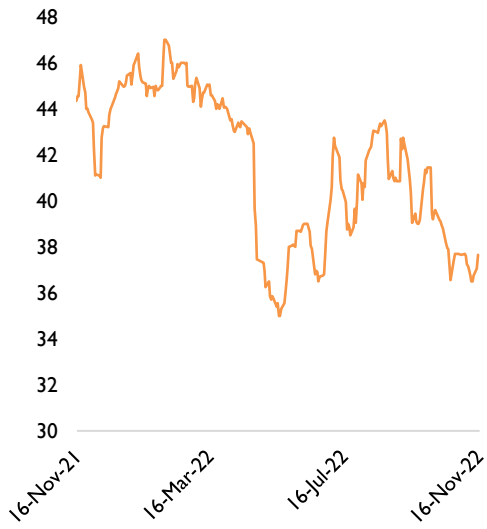
Result Update

Company details

Bloomberg Ticker	KNCB:KN
NSE Code:	KCB
Issued Shares (Bn)	3.21
Market Cap (Bn)	120.99
52-week high:	47.50
52-week Low	34.00

As at 16th November 2022

Price chart



AIB-AXYS Research, NSE

Historical Price Performance

	1m	3m	6m	12m
Absolute	-4.01%	-12.61%	-7.49%	+2.60%

AIB-AXYS Research, NSE

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KCB Group Earnings Note

Recomm: Buy | **Current Price**: KES 39.55 | **Target Price:** KES 51.70

Summary

- **PAT and EPS above our expectations by edging higher by 20.99% and 21.70 y/y respectively** as driven by a 9.14% increase in net interest income and a 30.18% growth in non-interest income.
- **Loan book (+16.42.%) grew faster than customer deposits (+7.36%)** taking the loans to deposit 6.40% points higher to 82.27%. Loan book growth was driven by a 21.00% y/y (+52.52% q/q) increase in Mobile loans such as Vooma (+34%), Fuliza (+29%), and KCB M-pesa (+2%) to KES 138.80Bn.
- **Interim dividend to boost investors' demand in the coming trading sessions.** The board recommended an interim DPS of KES 1.00 amounting to KES 3.20Bn and if approved, Book Closure Date is set for: 8th December 2022 and Payment date is slated for 13th January 2023.

Key Highlights

- **Digital channels growth not enough to improve efficiency:** Cost to income ratio worsened 161bps y/y to 45.12%, despite the bank's push for digital transaction channels with 98% of transactions happening outside the branch. CIR deterioration was driven by a faster 16.35% y/y increase in Operating expenses less impairment provisioning compared to a 13.28% increase in Total Operating Income. Non-bank transactions increased 44.00% to 501Mn largely driven by mobile lending.
- **Net Interest income lags Non-funded Income:** Non-Interest income was above our expectations having grown by 30.17% to KES 30.55Bn mainly driven by a 17.25% y/y jump in income from loan fees and commissions. Furthermore, the impact of the prevailing dollar shortage and Kenya shilling depreciation challenges were seen in the Forex trading income growth of 86.37% to 8.40Bn from 4.51Bn in 3Q21, as the bid/ask spreads have widened to between 10-15.0% of the CBK indicative rate. Net Interest income grew slower at 9.18% y/y to KES 61.59Bn mainly on account of growth in interest from lending (+9.24% y/y) and government securities (+21.98% y/y). Therefore, the revenue mix shifted to 66:33 for NII:NFI from 71:29 in Q3'21, with a forward guidance of 67:33 by close of FY'22. The lender's balance between higher asset yields and sourcing for cheaper deposits led to a 121bp decline in the Net Interest Margin (NIM) to 7.07%.
- **Historical Asset quality concerns persist:** The Gross NPL stock increased 54.34% y/y (13.91% q/q improvement) to an industry high of KES 149.29Bn owing to elevated NPL ratios in subsidiaries such as NBK (24.50%), and Kenya (19.80%). NPL Ratio increased 425bps to 17.82% from 13.57% in Q3'21, which is still above the current industry average of 14.20%. We expect the lender to close FY'22 with an NPL ratio of 18-20.00% above management guidance of 15-17.00% owing to various recovery and loan book monitoring efforts. Meanwhile, the NPL Coverage worsened to 52.83% from 63.01% in Q3'21 driven by Gross NPL growing faster than provisioning.

Valuation and Group Outlook

FV Losses on Government Papers - As we previously observed in listed banking sector HY'22 earnings releases, the effect of the rising yield curve on the mark-to-market for-sale government securities has contributed to fair value losses for most lenders. The trend continued in Q3'22 where KCB's FV loss compared to the FVOCL assets was at -2.66% (-1.03% in HY'22) compared to a gain in Q3'21.

Outlook - The positive results are attributable to higher lending income and reduced provisioning supported by digital channels through transactions and digital loans. We take note of the continued strong growth in the balance sheet on the back of the integration and consolidation of the recently acquired regional subsidiaries. We are concerned with the historically above-industry average, NPL ratio despite reduced provisioning and normalization of previously restructured loans. Future growth in bank's earnings will be driven by digital channels, loan book growth and regional subsidiaries consolidation.

FY'22 Expectations -With the current growth rate, we expect the lender to close FY'22 with a PAT of **KES 39 - 41.00Bn** maintaining a similar payout ratio to FY'21, the end-year total dividend payment is likely to fall between KES 3.0-4.0. We view the interim dividend as likely to cause a short-term share price rally back to the KES 40.00 levels which is likely to cool off , retreat back to the KES 30.00s then pick up again as we approach FY'22 results release in April 2023.

Valuation - At the Current Market Price, the stock is trading at a reasonable valuation of 3.55x P/E against an industry median of 3.60x and a P/B multiple of 0.64x. Given the recent expansion to the DRC Congo & the projected expansion in Ethiopia, we remain positive on KCB's long-term growth prospects. Additionally, we have observed a significant investment in digital platforms, which is driving the loan book's double-digit growth as well as the expansion projects currently underway. We maintain a **BUY** recommendation with a revised price target of KES 51.07 which is a 29.13% upside from yesterday's closing price of KES 39.55.

Subsidiary Outlook

Trust Merchant Bank SA (TMB) DRC

On 2 nd August 2022, KCB Group announced the proposed acquisition of an 85.00% shareholding in the Trust Merchant Bank SA of DR Congo, with an option for a full takeover in two years. Assuming a similar timeline to the Equity Group's acquisition of BCDC Bank in 2020, we expect the transaction to be completed in Q1'23 following shareholders' approval. KCB is expected to pay a cash consideration which we estimate will be KES 15.73Bn – KES 18.51Bn. The transaction is priced at a P/Bv of 1.49x which is 44.66% above the average transaction multiple of 1.03x for regional takeover deals involving Kenyan banks since 2020.

We believe that the acquisition of TMB DRC (expected acquisition price of USD150mn vs. surplus group capital of USD300mn), will expose KCB to a huge reserve of foreign exchange currency given the high usage of dollars in DRC. We view KCB's acquisition of TMB of DRC as a positive revenue generator for the long term in line with the company's growth vision and therefore expect PAT to continue on a rising trajectory. The DRC market is still largely unbanked with a population of close to 100Mn people. Additionally, TMB's location in Lubumbashi, which is DRC's mining capital, is likely to open up the trade finance business for KCB.

Financial Statement Summary

1. Statement of Profit and Loss

Income Statement	FY'19	FY'20	Q3'21	FY'21	Q1'22	HY'22	Q3'22	% y/y Change
Net Interest Income	56,131.00	67,937.58	56,436.69	77,694.02	19,739.82	40,591.53	61,593.99	9.14%
Net non-Interest Income	28,171.54	28,450.60	23,468.98	30,940.59	9,291.57	19,215.62	30,550.66	30.17%
Total Operating income	84,302.54	96,388.18	79,905.66	108,634.61	29,031.39	59,807.15	92,144.65	15.32%
Provision for Impairment	(8,888.94)	(27,508.44)	(9,327.81)	(12,988.10)	(2,075.38)	(4,318.68)	(7,267.76)	-22.09%
Total Operating expenses	(47,405.18)	(70,669.30)	(44,096.02)	(60,820.30)	(14,999.31)	(31,628.75)	(48,840.71)	10.76%
Profit before tax	**36,897.36**	**25,718.88**	**35,809.65**	**47,814.30**	**14,032.08**	**28,178.40**	**43,303.95**	20.93%
Profit after tax	**25,165.17**	**19,603.65**	**25,172.78**	**34,091.63**	**9,788.89**	**19,521.78**	**30,458.98**	21.00%
Core EPS	7.83	6.10	10.44	10.61	12.18	12.15	12.64	21.07%
DPS	3.50	1.00	1.00	3.00	0.00	0.00	1.00	0.00%

2. Statement of Financial Position

Balance Sheet	FY'19	FY'20	Q3'21	FY'21	Q1'22	HY'22	Q3'22	% y/y Change
Government Securities	164.87	208.76	252.45	270.84	274.44	277.84	269.89	6.91%
Loans and Advances	539.75	595.25	651.82	675.48	704.37	730.34	758.82	16.42%
Total Assets	**898.57**	**987.81**	**1,122.46**	**1,139.67**	**1,166.91**	**1,210.11**	**1,276.28**	**13.70%**
Customer Deposits	686.58	767.22	859.10	837.14	845.82	908.57	922.30	7.36%
Total Liabilities	768.83	845.39	958.08	966.16	983.19	1,028.36	1,086.06	13.36%
Shareholder's Funds	**129.74**	**147.51**	**162.99**	**171.71**	**181.83**	**179.11**	**187.77**	**15.20%**

3. Key Metrics

	Q1'21	Q2'21	Q3'21	FY'21	Q1'22	Q2'22	Q3'22
Growth Metrices (y/y)							
Loan book Growth	7.81%	8.41%	12.87%	13.48%	17.96%	20.33%	16.42%
Customer Deposits Growth	3.67%	11.19%	9.11%	12.86%	15.59%	7.36%	6.51%
PAT Growth	1.82%	101.92%	131.44%	77.54%	53.53%	27.59%	21.00%
Spreads Analysis							
Yield on Assets	10.94%	11.15%	10.91%	11.11%	10.01%	9.96%	9.61%
Cost of Funds	2.70%	2.65%	2.64%	2.81%	2.64%	2.69%	2.69%
Net Interest Margin	8.37%	8.60%	8.39%	8.45%	7.56%	7.43%	7.07%
ROaE	13.65%	18.89%	22.42%	21.76%	13.77%	23.20%	14.02%
ROaA	2.01%	2.73%	3.20%	3.21%	2.12%	3.45%	2.05%
Profit Margin	27.67%	29.88%	31.55%	31.46%	33.95%	32.85%	33.20%
Operating Efficiency							
Cost of Income Less LLP	48.01%	44.35%	43.51%	44.03%	44.52%	45.66%	45.12%
Cost of Assets	1.15%	2.30%	3.32%	4.50%	1.21%	2.45%	3.47%
Loan to Deposit	79.68%	77.22%	75.87%	80.69%	83.28%	80.38%	82.27%
Asset Quality							
NPL	14.91%	14.38%	13.57%	16.59%	16.93%	21.42%	17.82%
NPL Coverage	61.63%	61.57%	63.01%	52.93%	52.65%	45.82%	52.83%
Cost of Risk	12.42%	12.86%	11.67%	11.96%	7.15%	7.22%	7.89%

Source: Company Fillings, AIB-AXYS Estimates



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